CHAPTER 1

SETTING THE STAGE

I

I took over as the 23rd Governor of the Reserve Bank of India on 4 September 2013. The rupee had been in free fall in August, inflation and the current account deficit were high. Even though Mr Chidambaram, who had been brought back as Finance Minister in 2012 when Mr Pranab Mukherjee became the President of India, had taken an axe to the fiscal deficit, it was still large. With elections looming in May 2014, and the possibility of a hung parliament, investors were getting nervous. They were quick to label India one of the 'Fragile Five' emerging markets during the market volatility that followed Fed Chairman Ben Bernanke's hint in May 2013 that the Fed was likely to start the process of normalization of monetary policy. Having experienced the worst of that 'Taper Tantrum' while at North Block, and having seen measure after measure to stabilize the currency fall flat, I thought it was time to go all out. I wanted to send the message that India had strong institutions like the RBI that could push reforms forward even when Parliament was stalled, and international investors should not write India off.

My predecessor, Governor Subbarao, was gracious enough to allow me to spend most of August 2013 at the RBI, talking to my to-be colleagues and collecting possible ideas for reform measures. There were plenty of ideas floating around in the corridors of the Reserve Bank, belying its reputation for staid conservatism. Where necessary, these were discussed with my colleagues in the finance ministry. I wanted to send four messages. First, we had to present a façade of confidence to assure the public and investors that the RBI knew what had to be done. Second, we would emphasize our commitment to bringing down inflation, which my friend, the Mexican central bank governor, Agustin Carstens, advised me, was in his long experience the best way to stabilize the currency. Third, we would signal the RBI could be bold and farsighted when the need arose – evidenced by the large number of